

₹10,000 is assured for those who serve the government for at least 10 years.

The scheme, which will kick in from April 1, 2025, would see increased contribution from the Centre at 18.5% of the employee's basic salary and dearness allowance, as against 14% under the NPS. Employees would continue to contribute 10% of their salary and dearness allowance, as is the case for those who joined service after January 1, 2004, and are covered by the NPS.

The UPS also includes a lump sum superannuation payout along with gratuity benefits at the time of retirement. Former Finance Secre-

drawn salary as pension for civil servants but was unfunded, and liabilities were paid from the exchequer as they arose.

Sitharaman has expressed hope that states would also take up the UPS. Maharashtra was the first one to announce the switch within hours of the Cabinet decision. In a scenario where all states adopt it, the number of beneficiaries could rise to 9 million. Five states, including Himachal Pradesh and Rajasthan, had previously decided to move their employees out of the NPS and back to the OPS.

UPS has seen mixed reactions so far, and more details of the scheme

Unions have rejected the scheme.

Economists, who generally fret about rising pension bills' impact on the fiscal math, have, surprisingly, welcomed the UPS as they believe it may not be as fiscally profligate as the OPS. They have, however, questioned the timing of the decision, coming just before a slew of state assembly elections.

The UPS is expected to warrant an additional spending of ₹6,250 crore by the Centre every year along with a one-time outgo of ₹800 crore on arrears this year. The Centre's pension bill is estimated at ₹2.43 lakh crore in financial year 2024-25 or FY25, at almost the same level as

THE RETIREMENT PLAN

- 1** 50% of basic salary drawn over last 12 months to be given as pension under UPS for those with 25 years of service
- 2** A minimum monthly pension of ₹10,000 is assured for those with at least 10 years of service
- 3** Bharatiya Mazdoor Sangh has welcomed the scheme, but awaits further clarity before deciding its course of action
- 4** Economists have welcomed the UPS but have questioned the timing of the announcement, coming just before a slew of state elections

tary and current Cabinet Secretary T.V. Somanathan, who also headed a committee to review the NPS, said that over 99% of employees would prefer to switch to the UPS from the NPS as it would prove to be more beneficial. Those part of the NPS since 2004 will also have the option to switch to the UPS.

Finance Minister Nirmala Sitharaman has underlined that the UPS is a new scheme and should not be viewed as a 'rollback' to the Old Pension Scheme (effective for those who joined service before 2004), seen as a burden on the exchequer. The OPS also assured 50% of last

are awaited by analysts as well as employees. Central government employees' representatives have broadly welcomed the UPS as it acknowledges the lacunae in the NPS. However, they are not very happy with the contributory nature of the UPS that requires deductions from their salary, and are still pining for a reversion to the OPS.

Meanwhile, trade unions are divided. While the RSS-affiliated Bharatiya Mazdoor Sangh has welcomed the scheme, it awaits further clarity before deciding its course of action. Other central trade unions under the Centre of Indian Trade

₹2.38 lakh crore in FY24, and ₹2.41 lakh crore in FY23.

"In the near term, the fiscal impact is likely to be minimal (0.02% of GDP in FY25). As more states adopt the UPS, they will have to bear an additional fiscal burden. The medium-term impact is likely to be higher than the NPS, but lower than the OPS," said a note by financial services group Nomura, adding that the roll-out seems to be aimed at addressing the disenchantment against the NPS at a time when key states—Haryana, Jharkhand, and Maharashtra, and the Union territory of Jammu and Kashmir—are